UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2023/2024

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

TUESDAY, 3 OCTOBER 2023 TIME: 2.00 PM – 5.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to candidates:

Section A: **[Total: 40 marks]**
ONE (1) question is compulsory and **MUST** be answered.

Section B: **[Total: 60 marks]**
TWO (2) questions **ONLY** to be answered.

This question paper consists of 4 questions on 5 printed pages.

Section A – Answer ALL questions. (Compulsory) **[Total: 40 marks]**

Q1. (a) Fajar Fusion Sdn Bhd (FF) is a furniture manufacturing company based in Malaysia. FF secured an import deal worth SGD200,000, where 25% of the import amount has been paid as deposit. The balance of SGD150,000 is due in three months' time. However, the Finance Director of FF recently reviewed the company's cash flows and became concerned about the exchange rate risk associated with this transaction due to the uncertain fluctuation between the Malaysian Ringgit (MYR) and Singapore Dollar (SGD).

FF has a cost of capital of 10% and currently has no cash surplus, which means that the company will need to raise new capital to pay for the upcoming transaction and maintain its optimal capital structure. To manage the exchange rate risk, the Finance Director is considering various strategies that would help the company mitigate potential losses caused by unfavorable exchange rate fluctuations.

Exchange rates	**SGD/MYR**
Spot rate	0.2287- 0.2295
3 months forward rate	0.2445 – 0.2455

Money market rates (% per annum)	**Borrow**	**Deposit**
Singapore dollars (SGD)	6%	4.5%
Malaysian Ringgit (MYR)	7%	5.5%

Foreign currency options prices
FF has a 3-month call option on SGD at an exercise price of 0.2250 SGD/MYR with 1% premium and a 3-month put option on SGD at an exercise price of 0.2263SGD/MYR with a 2% premium. The Finance Director has approached you for advice on how to manage the exchange rate risk effectively. Your task is to analyze the situation and provide recommendations on the best hedging strategy that the company can adopt to address this risk.

Required:

Calculate the Malaysian Ringgit (MYR) payment which FF might expect for the 3 month transaction if the company hedges foreign exchange risk in the:

(i) Forward market (2 marks)

(ii) Money market (8 marks)

(iii) Option market (8 marks)

(iv) Using break even analysis, evaluate which is the best hedging technique for FF. (7 marks)

Section A Q1. (Continued)

(b) Analyze how FF should manage the exchange rate risk based on these **THREE (3)** considerations. In your analysis, you should evaluate the costs and benefits of each consideration.

(i) Real cost of hedging (3 marks)

(ii) Invoice in local currency (3 marks)

(iii) Negotiate payment terms (3 marks)

(c) Explain the main advantages of using foreign currency option in hedging foreign exchange risk. (6 marks)

[Total: 40 marks]

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Section B – Answer TWO (2) questions only. **[Total: 60 marks]**

Q1. (a) Evaluate how regulatory environment, tax, business risk and currency risk considerations affect the achievement of an optimal capital structure for positive investment outcomes in multinational companies' foreign direct investment decisions. (20 marks)

(b) (i) Explain translation exposure and how it can impact multinational companies' operations in foreign markets. (4 marks)

(ii) Describe **THREE (3)** strategies that can be used to hedge translation exposure and evaluate their effectiveness in mitigating translation risk. (6 marks)

[Total: 30 marks]

Q2. (a) The September 2023 Mexican peso (MXN) futures contract has a price of \$0.77275 per 10 MXN. You believe the spot price in September will be \$0.83800 per 10 MXN. MXN200,000 is the size of one MXN futures contract.

(i) Determine the speculative position you would enter into to profit from your beliefs? (2 marks)

(ii) Calculate your anticipated profits, assuming you take a position in three MXN contracts. (4 marks)

(iii) Calculate the amount of profit or loss, if the futures price is indeed an unbiased predictor of the future spot price and this price materializes. (4 marks)

(b) As a global retailer, XYZ faces various challenges such as political risk and government restrictions when expanding its business operations to a new market. Discuss the strategies that XYZ can use to overcome these challenges and ensure successful entry in a new market. (12 marks)

(c) Axmine Plc has been contacted by Trace Plc, a mining company based in a South American country. Trace has proposed a four year joint venture to mine copper using a new technology developed by Axmine. Axmine would supply the machinery. The joint venture would give Axmine 50% share of Trace's copper production. Discuss the non financial considerations that Axmine has to consider before agreeing to the proposed joint venture. (8 marks)

[Total: 30 marks]

Section B (Continued)

Q3. (a) ABC Corporation, a US-based company, is considering expanding its business operations to a foreign country. As part of their analysis, they want to understand how trade-related and economic indicators may affect exchange rates in that country. Advise ABC Corporation on assessing the impact of trade-related and economic indicators on exchange rates before expanding their business operations in a foreign country. (10 marks)

(b) A US corporation with a surplus of $1 million is considering investing in a 1-year deposit with a 6% interest rate. However, it is attracted by the higher interest rates in Australia and decides to create a 1-year deposit denominated in Australian dollars with a 9% interest rate, when the exchange rate is $0.68. One year later, the corporation decides to convert the Australian dollars deposits into US dollars, when the exchange rate is $0.72, as they do not have any immediate use for the Australian dollars. Evaluate how will the exchange rate impact the corporation's returns from the deposit in Australian dollars. (10 marks)

(c) The CFO of Allo Corporation is worried about the potential increase in interest rates due to the recent economic indicators showing signs of inflation. Allo Corporation plans to issue a bond for $10 million in six months' time and wants to ensure that the interest rate it pays on the bond does not exceed 5% per year, which is the current rate for similar bonds. The CFO is considering using an interest rate swap or an interest rate futures to hedge against the interest rate risk. Explain how each of these two alternatives might be useful to Allo Corporation. (10 marks)

[Total: 30 marks]